

EQUITY: Machinery and Equipment

AIDC and vacuum pumps unlock growth

Screw and magnetic-bearing compressors benefit from accelerating AIDC orders

Initiate at Buy with a TP of CNY41.91, implying 49.4% upside

We see incremental revenue opportunities from growing AIDC compressor sales and continued customer penetration in semiconductor dry vacuum pumps. We also expect a better product mix, scale benefits and internal digitalization to support margin expansion. We therefore forecast revenue of CNY3,231mn/CNY3,681mn/CNY4,252mn and net profit of CNY590mn/CNY773mn/CNY976mn in 2026-28F, implying CAGRs of 13.3%/27.7%, respectively. On valuation, we value Hanbell at 29x 2027F P/E, broadly in line with its five-year historical average plus 1 standard deviation (SD), reflecting the medium- to long-term growth potential of its AIDC compressor and semiconductor vacuum-pump businesses. Based on 2027F EPS of CNY1.45, we derive a TP of CNY41.91, implying 49.4% upside. The stock fell 18.3% over the three months to 22 Sep 2026, underperforming the CSI 300 by 8.1pp. We believe this reflects market concerns over the pace of new business execution, AIDC capex and semiconductor customer qualification. **Key catalysts:** new AIDC compressor orders and deliveries and semiconductor vacuum pumps progressing into volume production. **Key downside risks:** weaker-than-expected AIDC construction, slower semiconductor customer penetration, significant raw-material price volatility, and uncertainties related to overseas policy, demand and FX.

AIDC demand to create a new growth leg for compressors

To meet rising cooling requirements from higher compute density and tighter power usage effectiveness (PUE) and life-cycle cost (LCC) targets, it has expanded into both magnetic-bearing and air-bearing centrifugal compressors. We believe continued global AI data-center investment should support demand for high-efficiency cooling compressors. Based on Grid Strategies' forecasts for incremental US AIDC capacity, IEA data on AIDC capacity and CIAPST data, we estimate average annual incremental AIDC compressor markets of c.CNY38.4bn globally and CNY6.4bn in China over 2025-30. We believe Hanbell has competitive strengths in its product portfolio, channel partnerships and manufacturing footprint. With magnetic-bearing compressor sales ramping up, potential North American AIDC opportunities through its cooperation with TECO, and rising demand for energy-efficiency upgrades to the installed base, we forecast compressor revenue growth of 10%/13%/15% y-y in 2026-28F.

Localization to support semiconductor dry vacuum-pump growth

We believe dry vacuum-pump market expansion and import substitution together create a sizeable longer-term opportunity for Hanbell: 1) QYResearch forecasts the global semiconductor dry vacuum-pump market to rise from USD1,516mn in 2025 to USD3,034mn in 2032, with a 10.14% CAGR over 2026-32; 2) according to Huaxin Capital's report in 2025, Atlas, Ebara and Pfeiffer together account for more than 85% of China's semiconductor dry vacuum-pump market, while domestic suppliers account for less than 15%. Hanbell has established three series of semiconductor-specific dry vacuum pumps and begun volume shipments. We believe further customer qualification and conversion into volume production should allow it to benefit from underlying market growth and increasing localization, making semiconductor vacuum pumps an important medium- to long-term earnings driver.

Year-end 31 Dec	FY25	FY26F	FY27F	FY28F
Currency (CNY)	Actual	Old New	Old New	Old New
Revenue (mn)	2,927	3,231	3,681	4,252
Reported net profit (mn)	469	590	773	976
Normalised net profit (mn)	431	578	773	976
FD normalised EPS	0.81	1.08	1.45	1.82
FD norm. EPS growth (%)	-47.5	33.9	33.8	26.3
FD normalised P/E (x)	34.8	26.0	19.4	15.4
EV/EBITDA (x)	21.6	17.3	13.9	11.2
Price/book (x)	3.1	3.2	3.0	2.7
Dividend yield (%)	1.6	2.0	2.6	3.3
ROE (%)	10.7	12.8	15.4	17.8
Net debt/equity (%)	net cash	net cash	net cash	net cash

Source: Wind, company data, Nomura estimates

Rating **Buy**
Starts at

Target price **CNY 41.91**
Starts at

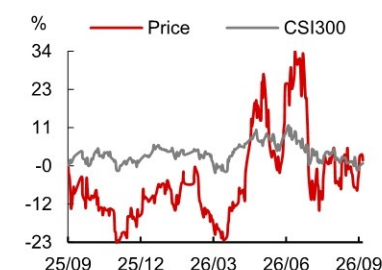
Closing price **CNY 28.06**
22 Sep 2026

Implied upside **+49.4%**

Market Cap (USD mn) 2,224.2

ADT (USD mn) 69.7

Relative performance chart



Source: Gildata

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Key data on Hanbell Precise Machinery

Performance

(%)	1M	3M	12M		
Absolute (CNY)	6.5	-18.3	-0.2	M cap (USDmn)	2,224.2
Absolute (USD)	7.1	-17.5	5.2	Free float (%)	38.5
Rel to CSI 300	8.1	-8.1	-0.7	3-mth ADT (USDmn)	69.7

Source: Gildata

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,674	2,927	3,231	3,681	4,252
Cost of goods sold	-2,267	-1,928	-2,083	-2,310	-2,608
Gross profit	1,408	998	1,147	1,372	1,644
SG&A	-500	-489	-503	-551	-623
Employee share expense					
Operating profit	1,012	523	659	860	1,085
EBITDA	1,044	616	846	1,027	1,240
Depreciation	-134	-131	-173	-155	-146
Amortisation					
EBIT	910	485	673	872	1,094
Net interest expense	54	-20	-18	-15	-12
Associates & JCEs	0	0	0	0	0
Other income	49	31	28	51	72
Earnings before tax	1,011	520	655	857	1,082
Income tax	-147	-50	-63	-82	-104
Net profit after tax	865	470	592	774	978
Minority interests	-2	-1	-1	-2	-2
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	821	431	578	773	976
Extraordinary items	41	37	13	0	0
Reported NPAT	863	469	590	773	976
Dividends	-310	-241	-303	-397	-501
Transfer to reserves	552	228	287	376	475

Valuations and ratios

Reported P/E (x)	11.5	28.6	25.4	19.4	15.4
Normalised P/E (x)	12.1	31.0	26.0	19.4	15.4
FD normalised P/E (x)	18.3	34.8	26.0	19.4	15.4
Dividend yield (%)	2.1	1.6	2.0	2.6	3.3
Price/cashflow (x)	134.0	19.3	21.1	18.7	14.9
Price/book (x)	2.3	3.1	3.2	3.0	2.7
EV/EBITDA (x)	9.4	21.6	17.3	13.9	11.2
EV/EBIT (x)	16.5	30.8	21.8	16.4	12.7
Gross margin (%)	38.3	34.1	35.5	37.3	38.7
EBITDA margin (%)	28.4	21.0	26.2	27.9	29.2
EBIT margin (%)	24.8	16.6	20.8	23.7	25.7
Net margin (%)	23.5	16.0	18.3	21.0	22.9
Effective tax rate (%)	14.5	9.6	9.6	9.6	9.6
Dividend payout (%)	36.0	51.3	51.3	51.3	51.3
ROE (%)	20.4	10.7	12.8	15.4	17.8
ROA (pretax %)	14.4	7.9	10.5	12.7	14.6

Growth (%)

Revenue	-4.6	-20.3	10.4	14.0	15.5
EBITDA	-5.2	-41.0	37.5	21.3	20.7
Normalised EPS	-2.2	-47.5	33.9	33.8	26.3
Normalised FDEPS	-2.2	-47.5	33.9	33.8	26.3

Source: Wind, company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,044	616	846	1,027	1,240
Change in working capital	-866	168	-74	-125	-98
Other operating cashflow	-66	-5	-62	-100	-134
Cashflow from operations	112	779	710	802	1,009
Capital expenditure	-115	-41	-47	-45	-46
Free cashflow	-3	737	663	757	963
Reduction in investments	-85	-433	-25	-25	-25
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	39	57	8	51	61
CF after investing acts	-49	362	645	783	998
Cash dividends	-310	-241	-303	-397	-501
Equity issue	0	2	0	0	0
Debt issue	-352	4	-4	50	50
Convertible debt issue					
Others	-28	-92	-63	-30	-33
CF from financial acts	-691	-326	-371	-377	-483
Net cashflow	-731	21	275	406	515
Beginning cash	1,420	688	710	984	1,390
Ending cash	688	710	984	1,390	1,905
Ending net debt	-154	-139	-413	-769	-1,234

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	688	710	984	1,390	1,905
Marketable securities	775	1,114	1,114	1,114	1,114
Accounts receivable	744	681	653	768	902
Inventories	819	692	832	831	947
Other current assets	585	1,011	975	1,000	1,079
Total current assets	3,611	4,207	4,559	5,102	5,947
LT investments	444	298	323	348	373
Fixed assets	1,116	1,095	996	896	794
Goodwill	0	0	0	0	0
Other intangible assets	160	155	149	143	137
Other LT assets	705	496	590	592	603
Total assets	6,036	6,252	6,618	7,082	7,854
Short-term debt	470	551	551	551	551
Accounts payable	798	830	898	934	1,101
Other current liabilities	359	360	404	404	483
Total current liabilities	1,627	1,741	1,853	1,889	2,134
Long-term debt	64	21	21	71	121
Convertible debt					
Other LT liabilities	102	92	91	91	91
Total liabilities	1,793	1,853	1,964	2,050	2,346
Minority interest	23	26	27	29	31
Preferred stock					
Common stock	535	535	535	535	535
Retained earnings	3,253	3,411	3,699	4,075	4,550
Proposed dividends					
Other equity and reserves	432	427	393	393	393
Total shareholders' equity	4,243	4,399	4,654	5,032	5,509
Total equity & liabilities	6,036	6,252	6,618	7,082	7,854

Liquidity (x)

Current ratio	2.22	2.42	2.46	2.70	2.79
Interest cover	-	24.4	36.8	56.7	93.0

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	1.61	0.88	1.10	1.45	1.82
Norm EPS (CNY)	1.54	0.81	1.08	1.45	1.82
FD norm EPS (CNY)	1.54	0.81	1.08	1.45	1.82
BVPS (CNY)	7.89	8.18	8.65	9.36	10.24
DPS (CNY)	0.58	0.45	0.57	0.74	0.94

Activity (days)

Days receivable	70.8	87.6	74.3	69.5	70.7
Days inventory	159.7	141.0	131.7	129.6	122.7
Days payable	157.9	152.0	149.4	142.8	140.5
Cash cycle	72.7	76.7	56.7	56.3	52.9

Source: Wind, company data, Nomura estimates

Company profile

Founded in 1994 and listed on the Shenzhen Stock Exchange in 2007, Hanbell has expanded from its core screw-compressor technology into centrifugal, magnetic-bearing centrifugal and scroll technologies. Its product portfolio covers commercial air-conditioning compressors, cold-storage and heat-pump compressors, air compressors, and vacuum pumps for the PV and semiconductor industries. Its customers include major home-appliance companies such as Midea, Haier and DunAn, as well as PV equipment and manufacturing companies including Jingsheng Mechanical & Electrical, S.C New Energy and LONGi. In semiconductors, its products have passed qualification at selected domestic chipmakers and entered volume supply.

Valuation Methodology

We value Hanbell at 29x 2027F P/E, broadly in line with its five-year historical average plus 1 SD, reflecting the medium- to long-term growth potential of its AIDC compressor and semiconductor vacuum-pump businesses. Based on 2027F EPS of CNY1.45, we derive a TP of CNY41.91. The stock's benchmark index is the CSI 300.

Risks that may impede the achievement of the target price

Key downside risks: weaker-than-expected AIDC construction, slower semiconductor customer penetration, significant raw-material price volatility, and uncertainties related to overseas policy, demand and FX.

ESG

According to Hanbell's 2025 ESG report, the company continues to promote a greener supply chain and develop environmentally friendly products to support decarbonization across downstream industries. The company also aims to turn environmental initiatives from a cost item into a source of value creation. In 2025, environmental expenditure amounted to CNY6.0477mn, while greenhouse gas reductions from green electricity reached 4,557.51 tonnes of CO₂ equivalent and total energy consumption was 9,789.66 tonnes of standard coal equivalent.

Results review

According to the company's 2026 interim report, revenue rose 0.9% y-y to CNY1,502mn and net profit increased 9.0% y-y to CNY280mn. Gross margin fell 1.1pp y-y to 33.9%. In 2Q26, revenue declined 7.8% y-y to CNY814mn, while net profit rose 13.7% y-y to CNY159mn. Results were broadly in line with our expectations. Net profit outpaced revenue growth mainly because lower FX losses reduced finance expenses by 83.5% y-y to CNY4mn. By business, compressor revenue declined 0.7% y-y to CNY1,070mn in 1H26, while vacuum product revenue rose 6.8% y-y to CNY295mn. Domestic revenue increased 1.7% y-y to CNY1,131mn, while overseas revenue declined 1.5% y-y to CNY371mn.

Investment highlights

Hanbell is developing two potential growth engines on top of its core screw-fluid technology. In AIDC, the company has established a portfolio spanning screw compressors and magnetic-bearing and air-bearing centrifugal compressors. These products can support cooling systems serving high-power AIDC infrastructure, and we expect demand to increase as compute density rises. In semiconductors, Hanbell's dry vacuum pumps have obtained relevant SEMI safety benchmark verification certificates, passed qualification at selected domestic chipmakers and entered volume production. We believe the company should benefit from domestic wafer fab expansion and replacement demand for imported vacuum pumps.

AIDC compressors offer a new growth avenue

Based on Grid Strategies' forecasts for incremental US AIDC capacity, IEA data on AIDC capacity and data from the Semiconductor Industry Development Branch of the China International Association for the Promotion of Science and Technology (C), we estimate average annual incremental AIDC compressor markets of approximately CNY38.4bn globally and CNY6.4bn in China over 2025-30E.

Fig. 1: We estimate annual incremental AIDC-related compressor demand at CNY38.4bn globally and CNY6.4bn in 2025-30

	US/Global	China
AIDC capacity addition assumptions		
2025-30E AIDC capacity additions (GW)	US: 90	28
Share of global AIDC capacity additions	US: 44%	26%
Incremental chiller market size assumptions		
Chiller value per MW (USDmn/MW)	0.4	0.4
Total incremental chiller market, 2025-30E (CNYbn)	Global: 67.4	11.2
Average incremental chiller market, 2025-30E (USDbn)	Global: 11.2	1.9
USD/CNY	7	7
Average annual incremental chiller market (CNYbn)	Global: 76.9	12.8
Incremental compressor market size assumptions		
Compressor share of chiller value	50%	50%
Average annual incremental compressor market (CNYbn)	Global: 38.4	6.4

Source: Grid Strategies, Semiconductor Industry Development Branch of the China International Association for Promotion of Science and Technology (CIAPST), IEA, Nomura estimates

We see Hanbell's competitive position supported by three main factors:

- 1) **Product portfolio:** According to the company's IR activity record, its screw and magnetic-bearing centrifugal compressors used in data centers both recorded growth in 1H25. Its subsidiary Kaimo offers the RTM series of magnetic-bearing centrifugal compressors with single-unit cooling capacities of 125–900RT. The products use high-efficiency permanent-magnet synchronous direct-drive motors and are suitable for applications including large commercial complexes and data centers.
- 2) **Channel cooperation:** Hanbell has a long-standing relationship with TECO Electric & Machinery (1504 TW, Not Rated), one of its refrigeration-compressor customers, and the two companies jointly own Qingdao Century TECO. TECO operates refrigeration, air-conditioning and electromechanical-system businesses and can supply products including generator sets and transformers for AIDC infrastructure. TECO has also formed a strategic alliance with a leading global electronics manufacturing services (EMS) provider through a share swap, with cooperation extending into AI data-center infrastructure. We believe deeper cooperation between the two could create opportunities for Hanbell to expand its North American AIDC exposure.

- 3) **Manufacturing footprint:** Hanbell operates manufacturing facilities in Shanghai, Taiwan and Vietnam, providing a production base that can serve both domestic and overseas customers.

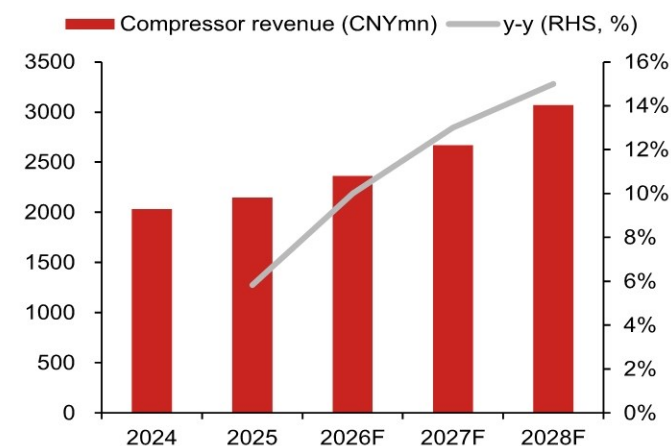
Semiconductor dry vacuum pumps offer substantial localization potential

Dry vacuum pumps are important ancillary equipment in semiconductor manufacturing and are widely used in front-end processes including thin-film deposition, etching and ion implantation, where they provide the clean vacuum environment required for production.

QYResearch forecasts the global semiconductor dry vacuum-pump market to expand from USD1,516mn in 2025 to USD3,034mn in 2032, with a 10.14% CAGR over 2026-32. The China market is forecast to increase from USD329mn in 2025 to USD677mn in 2032. Hanbell is currently penetrating the market mainly through mature-node applications, third-generation semiconductors and import substitution.

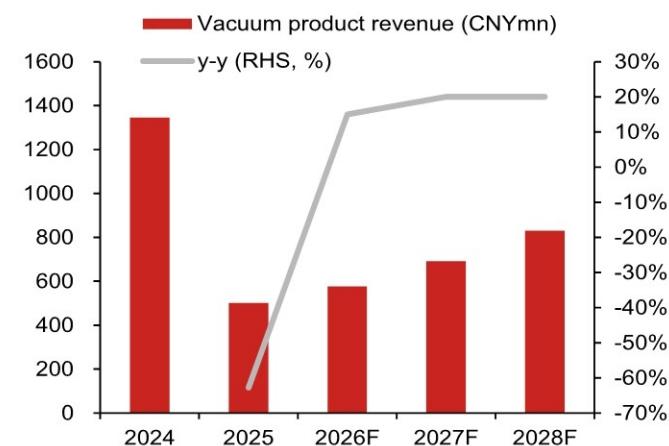
According to the company's IR activity record dated 12 May 2026, its semiconductor vacuum-pump revenue has continued to grow, particularly in mature-node and third-generation semiconductor applications. The company has developed three series of semiconductor-specific dry vacuum pumps and launched them commercially. Its products have obtained relevant SEMI safety benchmark verification certificates. Given the semiconductor industry's lengthy qualification cycle, Hanbell has so far passed qualification at selected domestic chipmakers and begun volume supply for both new production-line expansion and replacement of aging imported vacuum pumps. Hanbell is also working with leading domestic semiconductor-equipment companies including AMEC and ACM Research (Shanghai), helping drive the localization of imported vacuum pumps. We believe near-term growth should mainly come from further customer penetration in mature-node and third-generation semiconductor applications as well as replacement demand, while additional customer qualifications and volume-production projects could expand the company's addressable market over the medium term.

Fig. 2: Hanbell Precise Machinery – Strong data center demand to support steady compressor revenue growth



Source: iFinD, Hanbell 2024-25 annual reports, Nomura estimates

Fig. 3: Hanbell Precise Machinery – PV recovery and semiconductor growth to drive vacuum product expansion



Source: iFinD, Hanbell 2024-25 annual reports, Nomura estimates

Financial forecasts

We forecast revenue of CNY3,231mn/CNY3,681mn/CNY4,252mn and net profit of CNY590mn/CNY773mn/CNY976mn in 2026-28F, implying CAGRs of 13.3%/27.7%, respectively. We expect revenue growth to be driven by data-center compressors and semiconductor vacuum pumps, while a better product mix, scale benefits and operating-efficiency gains should support faster earnings growth. Our key assumptions are as follows.

- 1) **Compressors:** Hanbell's compressor products are mainly used in commercial air conditioning, cold storage, heat pumps and data-center cooling. We expect continued global data-center construction to provide the main incremental growth driver, while recovering replacement demand in industrial refrigeration and steady demand from cold-chain and heat-pump applications should provide additional support. We forecast compressor revenue growth of 10%/13%/15% y-y in 2026-28F. According to the company's 2026 interim report, compressor gross margin declined slightly in 1H26. However, we expect a rising contribution from data-center products to improve the business mix, supporting gross margins of 35.3%/36.8%/37.8% in 2026-28F.
- 2) **Vacuum products:** Vacuum products mainly serve the PV and semiconductor industries. According to the company's IR activity record, overseas demand for PV vacuum pumps has gradually recovered since 2H25, and the company believes the most severe phase of the industry downturn has passed. Semiconductor customer development typically requires a lengthy qualification process, but Hanbell has already passed qualification at selected domestic chipmakers and begun volume supply. We forecast vacuum product revenue growth of 15%/20%/20% y-y in 2026-28F. Gross margin declined 0.44pp y-y in 1H26. We expect a rising contribution from semiconductor vacuum pumps, together with improving overseas PV demand, to support gross margins of 36.1%/39.1%/42.1% in 2026-28F.

Operating expenses

Hanbell continues to invest in R&D for compressors and vacuum pumps. With revenue declining in 2025, the combined selling, G&A and R&D expense ratio rose to 16.0%. We expect scale benefits and internal digitalization initiatives to improve operating efficiency, with the combined expense ratio declining to 14.8%/14.2%/13.9% in 2026-28F.

Fig. 4: Hanbell Precise Machinery – Key financial forecasts

CNYmn		2024	2025	2026F	2027F	2028F	2026-28F CAGR
Total revenue		3,674	2,927	3,231	3,681	4,252	13.3%
	y-y growth (%)		-20%	10%	14%	16%	
Compressors		2,030	2,149	2,364	2,671	3,072	12.6%
	y-y growth (%)		6%	10%	13%	15%	
Vacuum products		1,346	501	576	692	830	18.3%
	y-y growth (%)		-63%	15%	20%	20%	
Parts and maintenance		258	239	251	276	304	8.3%
	y-y growth (%)		-7%	5%	10%	10%	
Casting products		40	37	39	42	47	7.6%
	y-y growth (%)		-6%	5%	8%	10%	
Gross profit		1,408	998	1,147	1,372	1,644	18.1%
	y-y growth (%)		-29%	15%	20%	20%	
Gross margin (%)		38.3%	34.1%	35.5%	37.3%	38.7%	
Operating expenses							
Selling expenses		141	141	146	159	179	
	as % of total revenue	3.8%	4.8%	4.5%	4.3%	4.2%	
G&A expenses		148	150	153	167	188	
	as % of total revenue	4.0%	5.1%	4.7%	4.5%	4.4%	
R&D expenses		182	178	180	198	225	
	as % of total revenue	4.9%	6.1%	5.6%	5.4%	5.3%	
Operating profit		1,012	523	659	860	1,085	27.6%
	YoY (%)		-48%	26%	30%	26%	
Net profit		863	469	590	773	976	27.7%
	YoY (%)		-46%	26%	31%	26%	

Source: iFinD, Hanbell 2024-25 annual reports, Nomura estimates

Our 2026F revenue and net profit forecasts are slightly below Wind consensus, reflecting our more cautious assumptions on order recognition and customer qualification timing. For 2027-28F, we expect the ramp-up of the AIDC business and continued expansion of the semiconductor vacuum pump business to improve the company's product mix, supporting faster earnings growth than revenue growth. We are therefore more optimistic than market consensus on net profit over this period.

Fig. 5: Hanbell Precise Machinery – Nomura estimates vs. Wind consensus

CNYmn	Nomura estimates			Wind consensus			Diff. (%)		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	3,231	3,681	4,252	3,282	3,700	4,151	-1.6	-0.5	2.4
Net profit	590	773	976	602	726	848	-1.9	6.5	15.0

Note: Wind consensus data as of 22 Sep 2026.

Source: Wind, Nomura estimates

Valuation methodology and risks

Initiate at Buy with a TP of CNY41.91

We use a P/E-based valuation approach as we expect Hanbell's earnings and profitability to improve over 2026-28F.

We value Hanbell at 29x 2027F P/E, broadly in line with its five-year historical average plus 1 SD. We believe a valuation above its historical average is justified by the incremental growth potential from AIDC compressors and semiconductor vacuum pumps. Based on 2027F EPS of CNY1.45, we derive a target price of CNY41.91, implying 49.4% upside. Currently the stock trades around 25x 2026F and 19x 2027F P/E.

Fig. 6: Hanbell Precise Machinery – Historical P/E band



Note: Priced as of 22 Sep 2026.

Source: Wind, Nomura

Fig. 7: Hanbell Precise Machinery –Valuation comparables

Ticker	Company name	Rating	TP (LC)	CP (LC)	Mkt cap (USDmn)	PE (x)			EPS CAGR 2026-28F	ROE (%)		
						2026F	2027F	2028F		2026F	2027F	2028F
002158 CH	Hanbell Precise Machinery	Buy	41.91	28.06	15.00	25.4	19.4	15.4	28%	12.8	15.4	17.8
000811 CH	Moon Environment Technology	Buy	60.69	39.95	39.65	44.1	27.6	21.6	48%	12.6	17.2	18.7
605060 CH	Allied Machinery	Not Rated		39.87	9.59	29.2	20.7	14.6	42%	12.3	15.3	18.3
301317 CH	Xinlei Compressor	Not Rated		50.63	7.96	87.2	40.8	15.3	22%	7.0	13.7	29.9
301018 CH	Shenling Environmental Systems	Not Rated		102.22	38.26	87.5	41.7	25.0	71%	14.1	22.6	26.9
688448 CH	Nanjing CIGU Technology	Not Rated		69.30	6.76	183.5	35.8	17.0	207%	3.5	16.7	29.5
Average						86.3	33.3	18.7	78%	9.9	17.1	24.7

Note: Priced as of 22 Sep 2026; Nomura estimates for rated stocks and Wind consensus estimates for not rated stocks; average excludes Hanbell Precise Machinery

Source: Wind, Nomura estimates

Key downside risks

- Weaker-than-expected data-center construction:** Data-center investment could be affected by the macroeconomic environment, policy changes and capex cycles. Slower construction would weigh on demand and growth for Hanbell's data-center cooling compressors, in our view.
- Slower-than-expected semiconductor customer penetration:** Weaker wafer-fab expansion or slower localization by semiconductor-equipment makers, as well as longer-than-expected customer qualification cycles, could constrain growth in the vacuum-pump business, in our view.
- Raw-material price volatility:** Hanbell uses bulk raw materials including steel and pig iron. Significant price fluctuations could affect production costs and profitability, in our view.
- Overseas policy, demand and FX risks:** Hanbell is expanding its overseas business, but tariffs, geopolitical developments and changes in global trade conditions could affect demand and project execution. FX fluctuations could also result in gains or losses and affect earnings, in our view.

Appendix A-1

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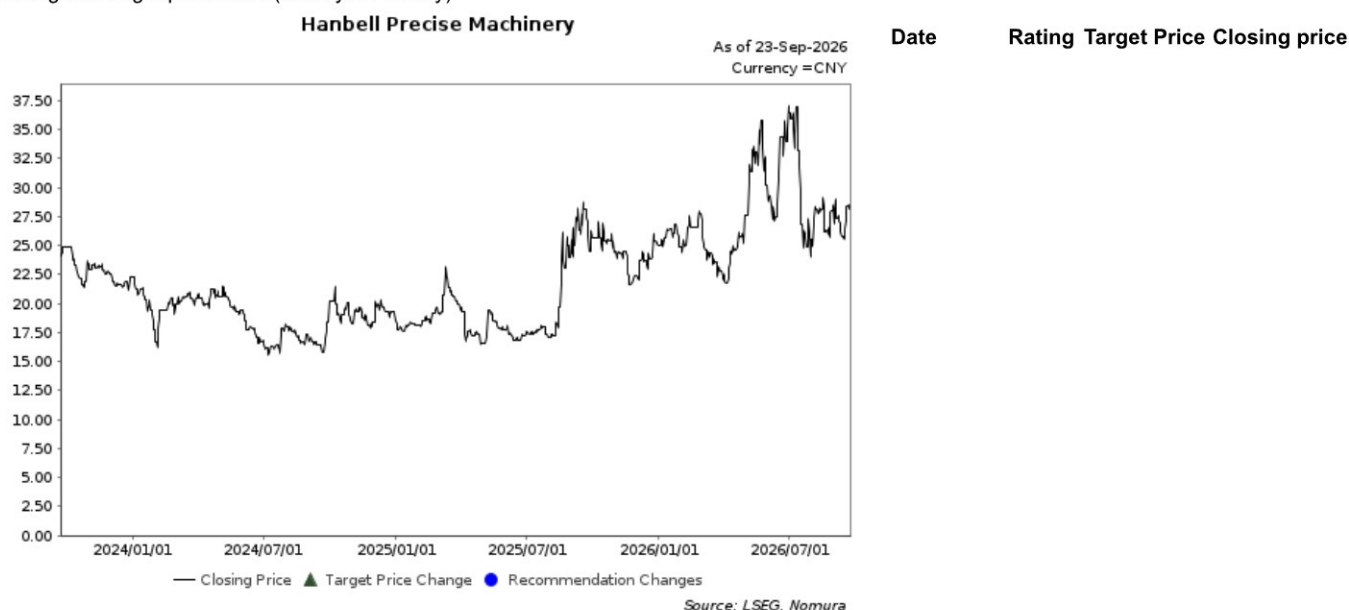
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Hanbell Precise Machinery	002158 CH	CNY 28.28	23-Sep-2026	Buy	N/A	

Hanbell Precise Machinery (002158 CH)

CNY 28.28 (23-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Hanbell at 29x 2027F P/E, broadly in line with its five-year historical average plus 1 SD, reflecting the medium- to long-term growth potential of its AIDC compressor and semiconductor vacuum-pump businesses. Based on 2027F EPS of CNY1.45, we derive a TP of CNY41.91. The stock's benchmark index is the CSI 300.

Risks that may impede the achievement of the target price Key downside risks include weaker-than-expected AIDC construction, slower semiconductor customer penetration, significant raw-material price volatility, and uncertainties related to overseas policy, demand and FX.

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